

GEOGRAPHY

INDIAN GEOGRAPHY



MINERALS & INDUSTRIES

MODULE - 9

- **SUGAR INDUSTRY**
- **JUTE INDUSTRY**

THE MAJOR REGULATORY ISSUES IMPOSED FROM THE GOVERNMENTAL SITE

The major regulatory issues that are prohibiting the growth of sugar sector along with the recommendations of the Rangarajan Committee are as follows:

1st ISSUE CANE RESERVATION AREA

1 The government has specified a cane reservation area under which farmers has to sell their produce to a particular sugar mill and mill owner has to buy sugarcane from particular farmers only.

2 This reduces bargaining power of farmers to get better price.

3 Suppose, there are two farmers Ram and Chandran, and there are 2 mills, Mill A and Mill B.

4 As per cane area reservation policy, Ram has to sell his produce to Mill A and Chandran has to sell his produce to only Mill B.

THE MAJOR REGULATORY ISSUES IMPOSED FROM THE GOVERNMENTAL SITE

1st ISSUE CANE RESERVATION AREA

- 5 In this situation, even if Ram produces better quality of sugarcane and if Mill B is willing to give a higher price for his produce, he is forced to sell only to Mill A. This eventually kills competition.
- 6 The mill owner has to depend on farmers of cane reservation area for supply of canes and in **case of low production of sugarcane in one specified cane reservation area**, mill owner has no other option. He will suffer a loss.

SOLUTION GIVEN BY RANGARAJAN COMMITTEE



This committee proposed that the states should encourage development of market based long-term contractual arrangements and phase out cane reservation area and bonding.

THE MAJOR REGULATORY ISSUES IMPOSED
FROM THE GOVERNMENTAL SITE2nd ISSUE MINIMUM DISTANCE CRITERIA

- 1 To ensure decent supply of sugarcane to each sugar mill, the central government has prescribed a **minimum radial distance of 15 km between any two sugar mills.**
- 2 But this criterion **help to create monopoly of mill owner.** It ultimately leads to exploitation of farmers.
- 4 Also, this regulation prohibits innovation and investment by entrepreneurs.
- 5 Minimum distance criteria is actually a corollary to cane reservation area and both go hand-in-hand with one another.

SOLUTION GIVEN BY
RANGARAJAN COMMITTEE

- 1 In order to increase competition and ensure a better price for farmers, the committee recommended that the MDC norm to be dropped.
- 2 Removing the regulation will ensure better prices for farmers and force existing mills to pay them the price on time.

THE MAJOR REGULATORY ISSUES IMPOSED FROM THE GOVERNMENTAL SITE

3rd ISSUE

RATIONALISATION OF CANE PRICING POLICY



- 1 The central government declares a legal minimum price of sugar which is called “the fair and remunerative price”.
- 2 And, state governments have also got the right to declare their own price which is called state advisory price.
- 3 Some arbitrary fixation of prices without consultation of stakeholders pose a conflict that which is a fair price for both farmers and mills.

THE MAJOR REGULATORY ISSUES IMPOSED FROM THE GOVERNMENTAL SITE

3rd ISSUE

RATIONALISATION OF CANE PRICING POLICY

SOLUTION GIVEN BY RANGARAJAN COMMITTEE



1 States shall not declare their own SAP, the pricing shall be done on the basis of **scientifically and economically viable principles after consultation with the stakeholders.**

2 The committee suggested a **revenue sharing mechanism.**

3 It said that, sharing of revenue generated under sugarcane supply chain shall be divided on the basis of 70:30 to farmers and mill owners respectively.

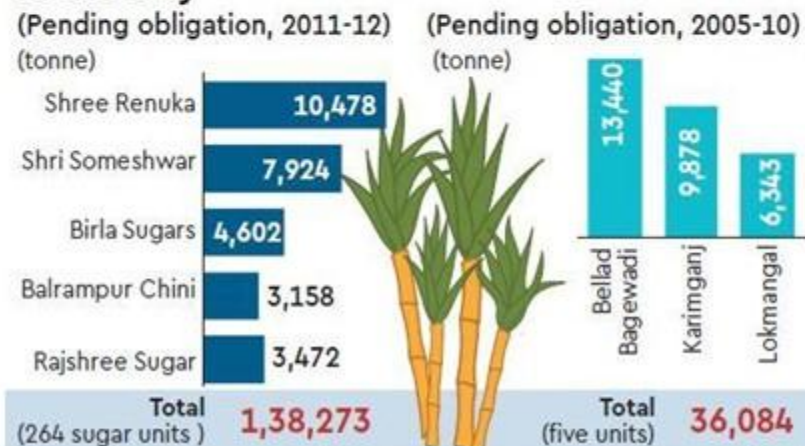
THE MAJOR REGULATORY ISSUES IMPOSED FROM THE GOVERNMENTAL SITE

4th ISSUE

LEVY SUGAR OBLIGATION – MECHANISM

Every sugar mill have to sell 10% of the total produce to the central government at a price lower than market price which is known as “levy sugar”.

Bitter levy



Note: Levy sytem was scrapped in 2013

Source: Department of food

SOLUTION GIVEN BY RANGARAJAN COMMITTEE



- 1 The condition of levy sugar shall be abolished as it acts as a burden on mill owner and reduces their financial viability.
- 2 For the purpose of PDS, the government shall buy directly from the market.
- 3 This levy sugar mechanism was therefore abolished from the year 2013.

THE MAJOR REGULATORY ISSUES IMPOSED FROM THE GOVERNMENTAL SITE

5th ISSUE

TRADE POLICY

1 There are various restrictions posed by central government on import and export of sugar.

2 That is why India contributes about 17% of the world sugar production but our export is only limited- around 4% of the world trade of sugar.

SOLUTION GIVEN BY RANGARAJAN COMMITTEE

Adviced to ease the market control of government on export and import.

THE MAJOR REGULATORY ISSUES IMPOSED FROM THE GOVERNMENTAL SITE

6th ISSUE

GOVERNMENT REGULATIONS ON TRADING OF BY-PRODUCTS

- 1 The government have posed various regulations on by-products which impede **revenue generation for both farmers and mill owners**.
- 2 By-products of sugar industry :
 - **Bagasse** used for paper industry
 - **Molasses** – this a brown colour thick liquid. Used as a raw material in ethanol production, rum production and for some chemical industries.
 - **Press mud** - residue of the filtration of sugarcane juice.

SOLUTION GIVEN BY RANGARAJAN COMMITTEE



The committee asked to remove all regulations on the trade of by-products



Bagasse



Molasses

LOCATIONAL FACTORS OF INDIAN JUTE INDUSTRY



CONDITIONS FOR JUTE CULTIVATION

- ✓ Temperature= 24 to 35°C
- ✓ Rainfall= 125 to 150 cms
- ✓ Grown mostly in Ganga-Brahmaputra delta region and Lower Brahmaputra valley in Assam; another upcoming centre is Andhra Pradesh.

WHY DID JUTE INDUSTRY GROW IN WEST BENGAL?

Raw material	80% of Jute is cultivated in the Kolkata hinterland. Jute is the only crop that can withstand flooding of this region.
Energy	Raniganj and Jharia coalmines can provide the adequate energy required by this industry
Water	Jute processing require large quantity of water for washing, bleaching, retting. Hooghly river helps in this aspect.
Labour	Jute-processing = labour intensive. Cheap labour available from Bihar, Odisha, W.Bengal.
Capital	Kolkata had good banking facilities since ages because initially it was the capital of British India. Hence Jute mills flourished

LOCATIONAL FACTORS OF INDIAN JUTE INDUSTRY

CHALLENGES IN JUTE INDUSTRY



- 1 The productivity of labour is low and labour culture with stringent labour laws are not conducive for jute industry.
- 2 West Bengal's leftist labour culture is not conducive for industries to modernise and stay competitive.
- 3 Wage rates need to be linked with productivity and new sophisticated machinery needed, but labour unions are resistant. Hence, business is not taking place at a desired pace (with very less investment).

LOCATIONAL FACTORS OF INDIAN JUTE INDUSTRY

CHALLENGES IN JUTE INDUSTRY



4 After partition, mills remained in India, jute producing areas went to East Pakistan (Bangladesh).

5 So Bangladeshis are now using more modern machineries while we're still using outdated technology. (Because businessmen not doing new investment). Hence **Bangladeshi jute products are better and cheaper than ours in international market.**

6 Competition from Bangladesh that enjoys certain advantages like **low power tariffs, less cost of labour, subsidies offered by the government and better quality of jute produced.**

LOCATIONAL FACTORS OF INDIAN JUTE INDUSTRY

CHALLENGES IN JUTE INDUSTRY

WHAT IS JUTE PACKAGING MATERIAL ACT, 1987??

- ✓ As per this Act, earlier, it was compulsory to pack 90 per cent of the food grains and 20 per cent of the sugar in jute bags.

WHAT IS THE PRESENT STATUS?

- ✓ The Cabinet Committee on Economic Affairs (CCEA) chaired by Prime Minister Narendra Modi approved that 100 per cent of the food grains and 20 per cent of the sugar shall be mandatorily packed in jute bags (scope of the Act expanded further)

7 The jute industry is totally dependent upon the Jute Packaging Material Act, 1987 for its market which kills the competitiveness and incentives to modernise.

8 Intense competition from synthetic fibres and hence to protect jute government has introduced such a move.

9 This leads to less innovation and diversification of jute products. For example, in Bangladesh, jute textiles are much in vogue thanks to the governmental initiatives.

LOCATIONAL FACTORS OF INDIAN JUTE INDUSTRY

CHALLENGES IN JUTE INDUSTRY



10 Lack of marketing strategy to promote Indian jute as eco-friendly, biodegradable packing material among environmentally conscious customers in US and Europe.

11 Political turmoil in some of the key markets in West Asia has led to the decline in exports.

12 Illegal imports from Nepal and Bangladesh adds a further blow to the jute industry.

LOCATIONAL FACTORS OF INDIAN JUTE INDUSTRY

CHALLENGES IN JUTE INDUSTRY



13 Jute is a “pure” fibre so the industry can be located anywhere between raw material centre and market.

14 Scarcity of good quality jute as productivity in India is less and is mostly inferior variety of jute.

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